

condition means that stocks have had an “internal” bear market and are therefore on their way in “a brand new bull market,” it is classic behavior in a transition phase, and this one is living on borrowed time.

Quiz: How many stocks among the 30 Dow Industrials do you think pushed that index to its headline-making record in the first quarter of 1995? Three-fourths? Two-thirds? Half? The truth is that only six Dow stocks made all-time highs in the first quarter of 1995. All the others topped long ago. This is the kind of thinness characteristic of the final months of a rise into a *major* top such as those of 1929, 1937 and 1973. In other words, “the market” is not at new highs; only a few stocks are. In fact, seven Dow stocks are below their 1987 highs!

Divergence in Seat Prices

A seat on the New York Stock Exchange recently sold for \$900,000, \$110,000 less than the \$1.1m. peak price registered in 1987. The last time that seat sales were below a previous high despite a new high in the averages was January 1973, at the top of a corrective wave rally within a larger bear market (see Figure 9-10). Exchange seat prices are sensitive to market momentum. Professional traders can feel the difference when a market’s breadth and upside rate of change weaken, and therefore bid less for seats. A persistent rise in wave (5) may still force some newcomer to grab a

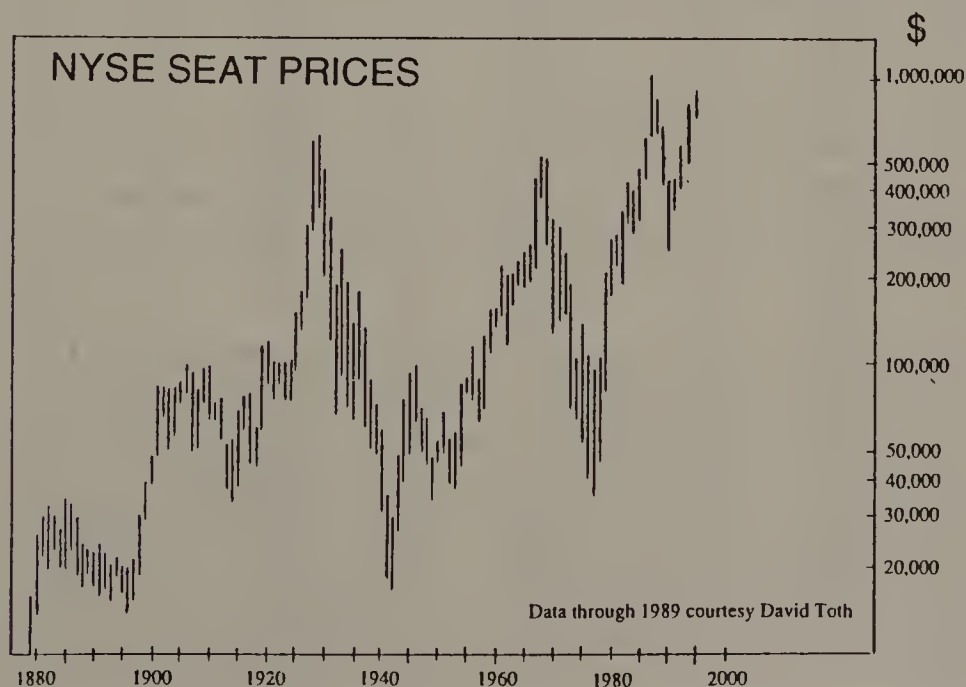


Figure 9-10